

Expense Reimbursement Policy – Finance Manual

Effective Date: January 1, 2025

Owner: Finance Department

1. General Principles

1.1 The Company reimburses employees for reasonable and necessary business expenses incurred while performing job duties. All expenses must be legitimate, appropriately documented, and comply with applicable tax laws.

1.2 Personal expenses – including but not limited to commuting to the normal office location, personal meals not related to business, entertainment of family members, and any expense incurred outside of employment dates – are not reimbursable.

1.3 Fraudulent expense claims will result in immediate termination and potential legal action for theft.

2. Meal Expenses

2.1 Meals while traveling on company business or entertaining clients are reimbursable up to \$25 per person (excluding tax and tip).

2.2 For team lunches or dinners where the employee is not traveling, reimbursement is limited to \$15 per person. A minimum of three employees must be present, and the business purpose (e.g., team building, project kickoff) must be noted on the expense report.

2.3 Alcoholic beverages are not reimbursable unless the expense is for client entertainment and has received prior written approval from a Vice President. Approval must be attached to the expense claim.

2.4 Itemized receipts are required for all meal expenses exceeding \$10. Credit card slips showing only the total amount are not sufficient.

3. Travel Expenses

3.1 Air travel: Economy class must be used for all domestic flights. For international flights exceeding 6 hours of flight time, premium economy is permitted. Business class is reserved for C-suite executives or for employees with documented medical conditions requiring additional legroom, with approval from HR.

3.2 Hotel accommodations: Reimbursement is capped at \$200 per night for most cities, \$300 per night for New York City, San Francisco, and London. Employees must choose hotels that are safe and reasonably located, but luxury properties (e.g., Four Seasons, Ritz-Carlton) require VP approval.

3.3 Ground transportation: Taxis, ride-shares (Uber, Lyft), and rental cars are reimbursable. Rental cars must be economy or compact class unless transporting equipment or three or more passengers. Fuel for personal vehicles is reimbursed at the IRS standard mileage rate (currently \$0.655 per mile).

4. Pre-Approval Requirements

4.1 Any single expense exceeding \$500 requires written pre-approval from the employee's direct manager and the department head. The approval must be attached to the expense report.

4.2 Travel that includes a personal extension (e.g., staying extra days for vacation) requires a cost comparison showing that the incremental company cost is reasonable. The employee must reimburse the Company for any additional lodging, meals, or flight change fees related to the personal portion.

5. Submission and Deadline

5.1 Expenses must be submitted through the Concur expense system within 30 days of the expense being incurred. Late submissions – between 31 and 60 days – will be reimbursed at 90% of the claimed amount. Submissions after 60 days will be automatically denied unless a written exception is granted by the Finance Director.

5.2 For each expense, the employee must provide: date, amount, vendor name, business purpose, names of attendees (for meals), and an itemized receipt or invoice.

6. Consequences of Policy Violations

6.1 First violation (minor): expense claim denied, written reminder sent.

6.2 Second violation within 12 months: 30-day suspension of expense reimbursement privileges (employee pays out of pocket for all business expenses during that period).

6.3 Third violation: referral to HR for formal disciplinary action, which may include termination.